INSTRUCTIONAL AREA
Risk Management

BUSINESS FINANCE SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Discuss the nature of enterprise risk management (ERM).
2. Discuss the nature of risk measurement.
3. Describe the use of technology in risk management.
4. Explain the role of ethics in risk management.
5. Make oral presentations.

EVENT SITUATION

You are to assume the role of a risk management analyst at NOVA LANE LOGISTICS, a regional trucking company with 220 trucks that delivers goods for retailers and manufacturers. Nova Lane has always handled risks one department at a time. After a difficult year, the chief executive officer (judge) wants to start a company-wide risk management program and present it to the board of directors next month.

The department heads scored the company's top risks on a scale of 1 (low) to 5 (high) for likelihood and impact:

Risk	**Likelihood**	**Impact**
Cyberattack that shuts down dispatch and billing systems	4	5
Spike in diesel fuel prices	4	3
Loss of largest customer (28% of revenue)	2	5
Shortage of qualified drivers	3	3
Fine for failing a federal safety inspection	2	3

In March, a phishing email exposed the shipping records of 1,200 customers. The IT team contained the problem within a day. The vice president of operations has suggested leaving the incident out of the board report because "nothing bad really happened."

The CEO (judge) wants your recommendations on how the new program should work, how to rank and track these risks, how technology can help, and what to do about the March incident.

You will present your recommendations to the CEO (judge) in the CEO's office. The CEO (judge) will begin the role-play by greeting you and asking to hear your recommendations. After you have presented your information and answered the CEO's (judge's) questions, the CEO (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. What could the bank actually do if we break one of these rules?
2. Who in the company should be responsible for tracking all of this, and how often?

	Did the participant:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Discuss the nature of enterprise risk management (ERM)?	0-1-2-3	4-5-6	7-8-9	10	
2.	Discuss the nature of risk measurement?	0-1-2-3	4-5-6	7-8-9	10	
3.	Describe the use of technology in risk management?	0-1-2-3	4-5-6	7-8-9	10	
4.	Explain the role of ethics in risk management?	0-1-2-3	4-5-6	7-8-9	10	
5.	Make oral presentations?	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
4.	**Accurate** Demonstrate appropriate finance acumen.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	